ELEPHAS INVESTMENT

Elephas Alphas Fund

2025 Q2 Investment Letter

Performance

Elephas*	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	ITD
2025	**0.19**	**12.45**	**13.88**	**10.26**	**-7.95**	**3.83**							**35.21**	**76.88**
2024								-3.38	40.27	-4.03	1.18	-0.59	30.83	30.83
MSCI China All	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**YTD**	**ITD**
2025	**-0.32**	**8.07**	**1.39**	**-3.85**	**2.74**	**3.59**							**11.77**	**24.75**
2024								-2.62	23.19	-5.27	-3.23	1.50	11.62	11.62

** Class A net return, since inception July 16th 2024*

The Fund posted a 5.38% return for the quarter, bringing its cumulative return since inception to 76.88%. This compares favorably to the MSCI China All Index, which returned 24.75% over the same period.

2025	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	ITD
Fundamental	0.15	13.61	10.65	8.14	-6.23	5.50							34.48	56.64
Systematic	0.04	-1.16	3.23	2.12	-1.72	-1.67							0.73	20.24
2024	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**YTD**	**ITD**
Fundamental								-2.17	20.91	-4.43	0.87	-1.10	12.78	12.78
Systematic								-1.21	19.36	0.40	0.31	0.51	18.05	18.05

Portfolio Review

We are pleased to report a positive performance for the quarter, of which the Fundamental Book contributed 6.9% and the Systematic Book detracted -1.6%.

Chinese biotech positions continued to drive performance, supported by a surge in licensing activity. In Q2 2025, 69 of the 226 global drug licensing deals involved Chinese companies, generating $1.7 billion in upfront payments and $23 billion in milestones. A striking trend this quarter has been the scramble to acquire or co-develop PD-(L)1/VEGF bispecific antibodies, now among the hottest assets in oncology. All of the largest immuno-oncology deals in 2025 target this pathway—and all originated in China. Pfizer signed a $6.05 billion agreement with HK-listed 3SBio for SSGJ-707 in May, while BioNTech licensed BNT327 in June—originally developed by Chinese biotech Biotheus—to Bristol Myers Squibb in a deal worth up to $11.1 billion. These therapies share the same mechanism as **Akeso**'s ivonescimab, which have delivered head-to-head superiority in disease progression risk over Keytruda, a $30 billion blockbuster, in two separate Phase 3 trials. As the *Wall Street Journal* put it, this was biotech's own "DeepSeek moment." What began as a China-led innovation is now being embraced by multinationals as the next major chapter in immuno-oncology.

Interestingly, our monthly quantitative sector models also flagged improving earnings outlooks and favourable

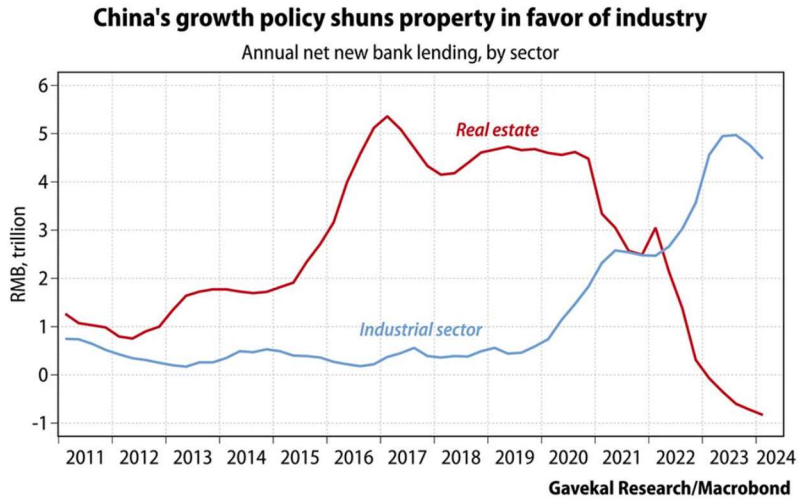
price-volume dynamics in the biotech sector during the quarter, prompting us to increase our exposure. This reflects our investment approach—combining systematic signals with fundamental research to support more robust decision-making, which we believe will lead to better investment outcomes over time.

Market Outlook

We remain optimistic about the outlook for Chinese equities and believe we are in the early stages of a new bull market. While global markets have reached record highs—with even the Nikkei surpassing its 1989 peak—the Hang Seng Index remains 25% below its 2017 high, and the CSI 300 is still nearly one-third below its 2021 peak.

The bull case for China rests on a fundamental structural shift: the economy is no longer reliant on property, and the transition toward advanced manufacturing and technology has begun to bear fruit across multiple sectors. We are witnessing a series of "DeepSeek moments"—breakthroughs in AI, robotics, and biotech that signal a broader innovation cycle taking hold. Over the past four years, as the country endured a painful deflationary shock triggered by the real estate crackdown, bank lending has decisively shifted away from property toward the industrial and technology sectors(Chart 1). As part of a centrally planned reallocation of national priorities, the government has mandated wage cuts across state-owned financial institutions—mirroring, in some respects, the earlier crackdown on the internet sector—in an effort to steer top university graduates away from finance and what it sees as "soft science" fields, such as internet platforms and toward "hard science" disciplines like engineering, biotechnology, and advanced manufacturing, where innovation is rooted in tangible technological progress rather than scale-driven dominance.

Chart 1: China net new bank lending, by sector



Source: Gavekal Research

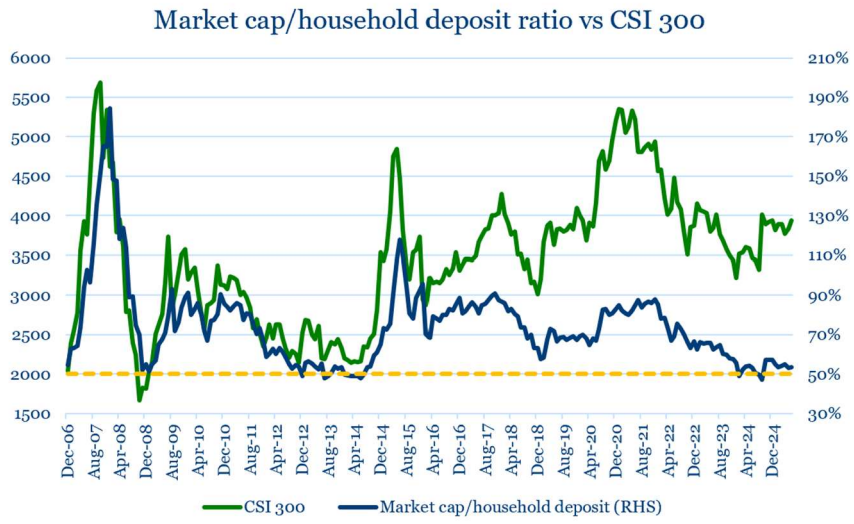
Liquidity, as ever, is the necessary condition for any sustained bull market—and China has it in abundance. Four years ago, Chinese government bond yields were more than twice those of US Treasuries; today, the situation has reversed (Chart 2). Household bank deposits have nearly doubled—from RMB 80 trillion to RMB 160 trillion over the past five years—compared with just RMB 25 trillion of growth (from RMB 55 trillion to RMB 80 trillion) during the previous five-year period (2015–2020). This surge is partly a result of the real estate crackdown, which has limited households' ability to deploy capital into property, traditionally a favoured store of wealth. Meanwhile, of the roughly RMB 160 trillion in household bank deposits, approximately RMB 120 trillion is tied up in time deposits—of which RMB 50 trillion will mature over the next year. Much of this capital was locked in during a period of significantly higher rates. At the time, a five-year deposit could yield over 4%; today, reinvestment rates for the same tenor have dropped below 1.5%, and many banks have quietly withdrawn five-year products altogether.

Chart 2: China 10 year yield (white) vs US 10 year (orange)

Source: Bloomberg

The surge in household deposits—combined with a painful bear market since 2021—drove the ratio of total stock market capitalisation to household deposits to just 47% last September, a multi-decade low. Historically, any reading below the 50% threshold has been a remarkably consistent harbinger of strong future returns, preceding every major bull market in the past two decades (Chart 3). We believe the low last autumn marked a meaningful inflection point for Chinese equities—and see substantial upside should the ratio merely revert toward its long-term average.

Chart 3: Market cap to household deposit vs CSI 300



Source: PBOC, Bloomberg

Every bull market has its leading sectors and defining companies—and we endeavour to identify them early. In our view, the next generation of bull market leaders will emerge from the international expansion of Chinese companies—a theme that forms the backbone of our portfolio. Years of intense and brutal domestic competition have forged globally competitive champions—firms that have not only endured, but are now thriving on the global stage. Increasingly, these are true innovators in their own right, no longer merely followers. They are now well positioned to challenge incumbents in overseas markets, where pricing power and margins are significantly more favourable than at home.

As always, we greatly appreciate your continued support and trust.

Yiwen Li

July 2025

ELEPHAS INVESTMENT

Contact Details:

23/F, Shun Ho Tower,

24-40 Ice House Street,

Central,

Hong Kong

info@elephasinvestment.com

Disclaimer:

This material is being furnished to you on a confidential basis to provide preliminary summary information regarding the Elephas Alphas Fund and may not be reproduced or used for any other purpose. The Elephas Alphas Fund is as a Cayman Islands limited company. Neither the Elephas Alphas Fund nor the interests therein have been or will be registered under the Securities Act of 1933, as amended, the Investment Company act of 1940, as amended, or the securities laws of any of the states of the United States or any other jurisdiction. The offering of such interests will be made in reliance upon an exemption from the registration requirements of the Securities Act of 1933, as amended, for offers and sales of securities which do not involve any public offering. This material does not constitute an offer to sell or a solicitation of an offer to buy interests in the Elephas Alphas Fund. Offers are made only by the offering memorandum and subscription documents of the Elephas Alphas Fund (the "Offering Documents", and together with other operative documents of the Elephas Alphas Fund, the "Operative Documents"), which should be read in their entirety. The statements in this material are not intended to be complete or final and are qualified in their entirety by reference to the Operative Documents. In the event that the descriptions or terms described herein are inconsistent with or contrary to the descriptions in or terms of the Operative Documents, the Operative Documents shall control. Elephas Alphas Fund's investment program is speculative and involves a high degree of risk. The Elephas Alphas Fund may use leverage and may lack diversification, which can increase the risk of loss to investors. The Elephas Alphas Fund's performance may be volatile. There can be no assurance that the Elephas Alphas Fund's investment objective will be achieved. Elephas Alphas Fund's management fees, incentive fees and allocations and other expenses will reduce trading profits. An investor could lose all or a substantial amount of such investor's investment in the Elephas Alphas Fund. The Elephas Alphas Fund have limited liquidity. No secondary market for interests in the Elephas Alphas Fund is expected to develop and there are restrictions on an investor's ability to withdraw and transfer interests in the Elephas Alphas Fund. If the Managing Members of Elephas Investment Management Limited, the investment manager of the Elephas Alphas Fund, were to cease to be associated with the Elephas Alphas Fund it is likely that the success of their investment program would be adversely affected. In making an investment decision, you must rely on your own examination of the Operative Documents. You should not construe the contents of this material as legal, tax, investment or other advice. No offer to purchase interests in the Elephas Alphas Fund will be accepted prior to the receipt of all appropriate documentation. No federal or state agency or regulatory or self-regulatory authority has approved the contents of this material or the offering of interests in the Elephas Alphas Fund, and any representation to the contrary is unlawful.